

Class 8 History Chapter 3: Ruling the Countryside

1. The Company Becomes the Diwan

- **12 August 1765:** The East India Company was appointed as the Diwan of Bengal by the Mughals.
- **Revenue Needs:** Initially, the Company imported gold and silver from Britain to buy Indian goods (like silk and cotton). Within 5 years, the prices of these goods doubled. To cover these rising costs, the Company decided to collect revenue directly from Indian territories instead of bringing in gold from outside.

2. Three Revenue Systems Introduced by the British

- **Permanent Settlement (1793):** * Introduced by Charles Cornwallis.
 - Rajas and talukdars were recognized as *Zamindars* and had to collect a **strictly fixed** amount of revenue from the peasants (*Ryots*).
 - *Problems:* The fixed tax was so high that Zamindars couldn't pay when crops failed, causing them to lose their land. Zamindars did not invest in improving the land, and peasants were crushed by debt.
- **Ryotwari (Munro) System:** * Developed by Capt. Alexander Read and Thomas Munro. Applied in South India (Madras and Bombay presidencies) because there were no traditional Zamindars.
 - Settlement was made directly with the cultivators.
 - *Problems:* The estimated revenue demands were set too high. Farmers couldn't pay, were forced to take loans, and fell into massive debt.
- **Mahalwari System (1822):** * Introduced by Holt Mackenzie in the North-Western Provinces of Bengal (present-day UP).
 - Revenue was calculated for the entire village (*Mahal*) after inspecting the lands. The responsibility of collecting revenue was given to the **Village Headman**, not the Zamindar.
 - The tax rate was **not fixed permanently** and could be revised.

3. Crops for Europe & The Demand for Indigo

- The British forced Indians to cultivate crops needed in Europe, such as sugarcane (in UP) and rice (in Madras).
- **Why Indigo?** Indian indigo produced a rich, luxurious blue color for dyeing cloth. European alternatives like *woad* produced a dull color. When indigo production in other parts of the world dropped drastically, the demand for Indian indigo skyrocketed. By 1810, Bengal produced about 90% of the world's indigo.

4. Systems of Indigo Cultivation

- **Nij System:** Planters grew indigo on land they owned or rented directly.

- *Problems:* It required huge numbers of laborers (who were usually busy growing rice) and plows (e.g., 1000 bighas of land required 2000 plows). Only 25% of indigo was grown this way.
- **Ryoti System:** Planters forced ryots to sign a contract (*satta*). Farmers were given cash advances (loans) at low-interest rates but had to grow indigo on at least 25% of their land.
 - *Problems:* Indigo plants had extremely deep roots that exhausted the soil's fertility, leaving the land useless for growing rice. Farmers were trapped in a never-ending cycle of debt.

5. The Blue Rebellion

- Because of the oppressive system, the ryots refused to grow indigo and rebelled against the planters and their armed guards (*lathiyals*).
- The government set up the **Indigo Commission**, which found the planters guilty of exploitation.
- Eventually, Queen Victoria declared that farmers would no longer be forced to cultivate indigo, bringing an end to the widespread cultivation of indigo in Bengal.